



02

TUTORIAL TWO

THE BALANCE SHEET & RECORDING TRANSACTIONS I

Mini Case: Armadillo Surfing Design (ASD)

Adapted from "An Introduction to Accounting: Accountability in Organisations and Society", 1st edition, Cengage

THE CASE: THE MISSING ACCOUNTING RECORDS PART 1

Following a review of the business structure, Archer, Maddie, and Dillon decided to restructure ASD from a partnership to a company. They later decided to list on the Securities Exchange. They are now a publicly listed company and have raised several million dollars through the initial public offering (IPO). These funds are to be used to further expand the business.

The business is performing well and with the help from the newly hired accountant, ASD now has a business plan to guide their strategy and operations over the medium to long term.

It is now five years since the IPO, and ASD has become a mature business that offers quality surfboards and a full range of both men's and women's apparel including hoodies, tracksuit pants, swimwear, and beach towels.

In the month of June, there were some IT issues that impacted the accounting software, and as such a number of events and transactions have not been accounted for in the financial records of ASD. Luckily, the company accountant kept a manual record of all transactions and events.

1 June 20X8	ASD purchased new machinery at a cost of \$140,000 by way of a bank loan. It was installed the same day and is expected to have a useful life of seven years after which time it will have no economic value.
3 June 20X8	ASD purchased 150 'save our oceans' t-shirts for \$3,000 payable in 14 days. These t-shirts are sold exclusively at the ASD-hosted beach clean-ups.
5 June 20X8	ASD made a sale worth \$135,000 to a new retailer who has agreed to stock their entire range. This new customer is required to make payment in seven days. The cost of the goods sold by ASD was \$80,000.
7 June 20X8	ASD paid staff wages of \$42,000.
12 June 20X8	ASD receive the \$135,000 from the sale made on 5 June 20X8.
17 June 20X8	ASD make the payment of \$3,000 related to the t-shirt purchase on 3 June 20X8
19 June 20X8	ASD renegotiated their plan with their telecommunications provider. They expect that under the new plan, they will save \$800 in telecommunications expenses each month.
20 June 20X8	ASD hosted a local beach clean-up; 14 kg of rubbish was removed from local beaches. The exposure generated in the lead-up to the event resulted in 460 new Instagram followers.
20 June 20X8	ASD sold 120 'save our oceans' t-shirts at the beach clean-up event. Customers were required to pay in cash on the day of the event. The t-shirts sold for \$50 each.

22 June 20X8	Dillon discovers that one of their employees was incorrectly storing some of the rubbish from the beach clean-up. After recent storms, much of this rubbish has been washed into the nearby waterways and estuaries.
25 June 20X8	ASD was named in a damaging post on Facebook in relation to the rubbish from the beach clean-up that ended up polluting the local waterways. The post was highly critical of ASD and so the business decided to apply to Facebook to have the review removed. On 27 June, the post was removed. During the period 25 June – 27 June, three local retailers contacted ASD to advise that they will not purchase any further goods from the company. This lost future sales are estimated to total \$160,000 per year.
26 June 20X8	ASD decide to switch their courier service provider after learning that the current courier service they use has been underpaying its workers. According to recent media reports, workers had been underpaid a combined total of \$280,000 over the past three months

ACTIVITIES

Briefly describe the impact, if any, of each event on the Balance Sheet

Solution



1 June 20X8	ASD purchased new machinery at a cost of \$140,000 by way of a bank loan. It was installed the same day and is expected to have a useful life of seven years after which time it will have no economic value.
3 June 20X8	ASD purchased 150 'save our oceans' t-shirts for \$3,000 payable in 14 days. These t-shirts are sold exclusively at the ASD-hosted beach clean-ups.
5 June 20X8	ASD made a sale worth \$135,000 to a new retailer who has agreed to stock their entire range. This new customer is required to make payment in seven days. The cost of the goods sold by ASD was \$80,000.
7 June 20X8	ASD paid staff wages of \$42,000.
12 June 20X8	ASD receive the \$135,000 from the sale made on 5 June 20X8.

17 June 20X8	ASD make the payment of \$3,000 related to the t-shirt purchase on 3 June 20X8
19 June 20X8	ASD renegotiated their plan with their telecommunications provider. They expect that under the new plan, they will save \$800 in telecommunications expenses each month.
20 June 20X8	ASD hosted a local beach clean-up; 14 kg of rubbish was removed from local beaches. The exposure generated in the lead-up to the event resulted in 460 new Instagram followers.
20 June 20X8	ASD sold 120 'save our oceans' t-shirts at the beach clean-up event. Customers were required to pay in cash on the day of the event. The t-shirts sold for \$50 each.
22 June 20X8	Dillon discovers that one of their employees was incorrectly storing some of the rubbish from the beach clean-up. After recent storms, much of this rubbish has been washed into the nearby waterways and estuaries.

25 June 20X8	ASD was named in a damaging post on Facebook in relation to the rubbish from the beach clean-up that ended up polluting the local waterways. The post was highly critical of ASD and so the business decided to apply to Facebook to have the review removed. On 27 June, the post was removed. During the period 25 June – 27 June, three local retailers contacted ASD to advise that they will not purchase any further goods from the company. This lost future sales are estimated to total \$160,000 per year.
26 June 20X8	ASD decide to switch their courier service provider after learning that the current courier service they use has been underpaying its workers. According to recent media reports, workers had been underpaid a combined total of \$280,000 over the past three months.

Multiple Choice Questions

1. Which of these is not an asset?

- A) Accounts payable
- B) Loan to J Troja
- C) Accounts receivable
- D) Both A and B

2. Identify the current liability.

- A) Wages owing
- B) Loan from B Buy due in 4 months
- C) Bill payable due in 2 years
- D) Both A and B

3. What is the effect on the statement of financial position when the business buys a car for \$35,000, paying a deposit of \$10,000, and promising to pay the balance within 60 days?

- A) Increase asset vehicle by \$5, 000; decrease asset bank by \$5, 000
- B) Increase asset vehicle by \$35,000; decrease asset bank by \$10,000; increase liability accounts payable by \$25, 000
- C) Increase asset vehicle by \$25, 000; decrease asset bank by \$5, 000; increase liability accounts payable by \$20, 000
- D) None of the above



Practice Questions

Question 1

You are provided with the following statement of financial position at the start of the week and the six transactions for the week.

Transactions for the week:

1. Purchased inventory on credit for \$5,000
2. Collected \$4,000 from customers for their prior purchases (i.e. purchases made by the customers).
3. Paid creditors \$7,000
4. Owner contributed additional cash \$10,000
5. Purchased furniture \$6,000 and paid in cash
6. Made loan repayment of \$2,000

REQUIRED:

- a) Complete the table to show how each transaction affects the accounts shown.
- b) Calculate the figures in the final column of the table from which the statement of financial position at the end of the period can be prepared

Solution:

	Beginning	Transactions						Ending
Assets		1	2	3	4	5	6	
Cash	3,000							
Accounts Receivable	5,000							
Inventory	7,000							
Freehold Premises	60,000							
Furniture & Fittings	18,000							
	<u>93,000</u>							
Liabilities								
Accounts Payable	3,000							
Bank Loan	30,000							
	<u>33,000</u>							
Equity								
Capital	60,000							
	<u>93,000</u>							

Practice Questions

Question 2

Cohen has the following assets and liabilities at year-end:

Account	\$
Property	150,000
Fixtures and Fittings	26,000
Motor Vehicles	36,000
Equipment	126,000
Trade Payables	32,000
Cash at Bank	16,000
Loan	100,000
Inventory	80,000
Trade receivables	42,000

REQUIRED:

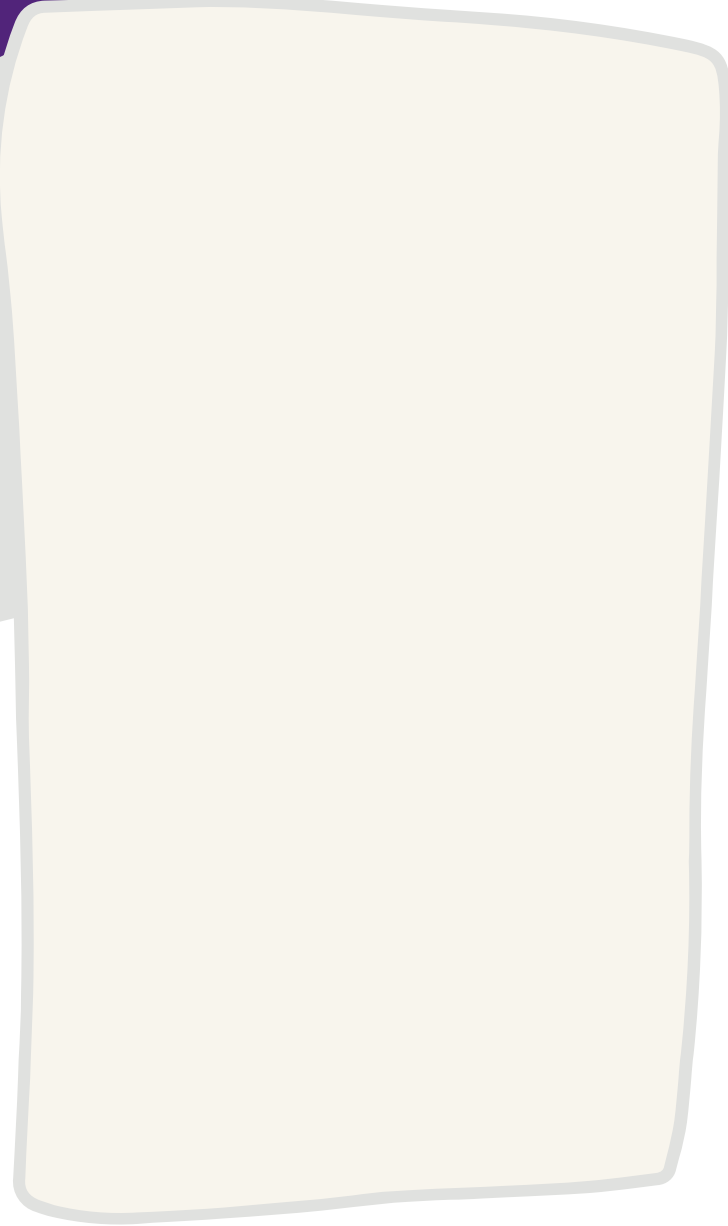
Use the above information to prepare a statement of financial position to represent the accounting equation in the form of Assets – Liabilities = Equity

Solution:

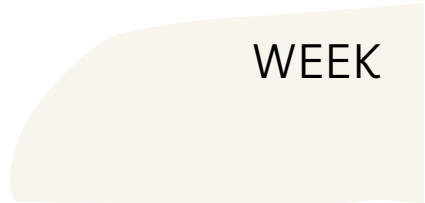
Statement of financial position as at Year-end	
Current assets	
Non-current assets	
Total assets	
Current liabilities	
Non-Current liabilities	
Total liabilities	
Equity	

WEEKLY NOTES

TO DO

A large, blank, cream-colored rectangular area with rounded corners and a thin grey border, intended for writing 'TO DO' notes.

WEEK

A small, blank, cream-colored rectangular area with rounded corners and a thin grey border, intended for writing 'WEEK' notes.

NOTES

A large, blank, cream-colored rectangular area with rounded corners and a thin grey border, intended for writing 'NOTES'.

NEXT WEEK

A blank, cream-colored rectangular area with rounded corners and a thin grey border, intended for writing 'NEXT WEEK' notes.

Notes

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....